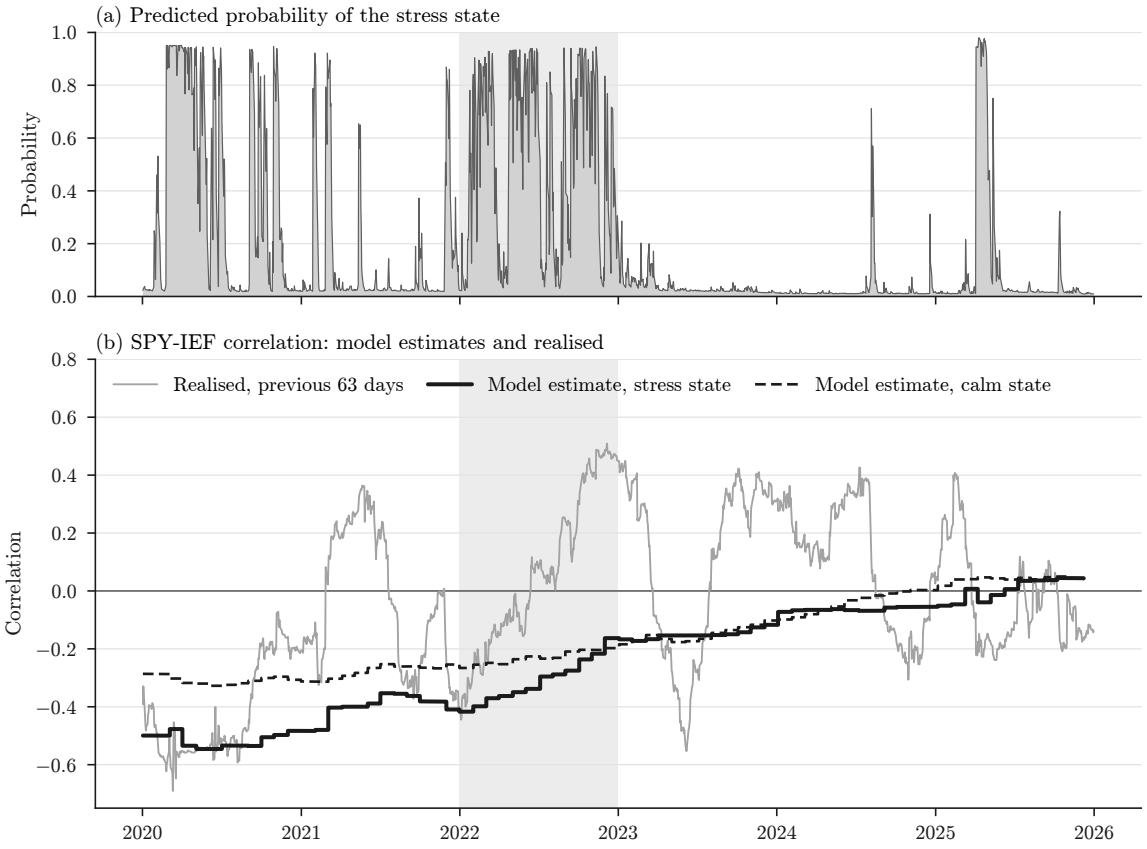

(a) Predicted probability of the stress state
Probability
1.0
0.8
0.6
0.4
0.2
0.0
(b) SPY-IEF correlation: model estimates and realised
Realised, previous 63 days
Model estimate, stress state
Model estimate, calm state
Correlation
0.8
0.6
0.4
0.2
0.0
−0.2
−0.4
−0.6
2020
2021
2022
2023
2024
2025
2026